



Compliance Policy

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1. Introduction

1.1 As part of its ongoing efforts to address Bank supervisory issues and enhance sound practices in Banking organizations, Reserve Bank of India in tandem with the recommendations of Basel Committee on Banking Supervision, has issued guidelines on the 'compliance function' in Banking organizations. With the advent of the Risk Based Supervision approach, some additional aspects have also been overseen more incisively to cater to the need for tighter compliance in a stricter regime as envisaged by the RBI.

1.2 The Compliance Function envisages strict observance of all statutory provisions contained in various legislations such as Banking Regulation Act, Reserve Bank of India Act, Foreign Exchange Management Act, Prevention of Money Laundering Act etc. as well as to ensure observance of other regulatory guidelines issued from time to time; standards and codes prescribed by IBA, FEDAI, FIMMDA, BCSBI etc; and also Bank's internal policies and fair practices code.

1.3 Compliance laws, rules and standards generally cover matters such as observing proper standards of market conduct, managing conflicts of interest, treating customers fairly, and ensuring the suitability of customer advice. They also include specific areas such as the prevention of money laundering and terrorist financing and may extend to tax laws that are relevant to the structuring of Banking products or customer advice.

1.4 Compliance laws, rules and standards have various sources, including primary legislation, rules and standards issued by legislators and supervisors, market conventions, codes of practice promoted by industry associations, and internal codes of conduct applicable to the staff members of the Bank will be the important sources for compliance laws, rules and standards. These rules and standards may go beyond what is legally binding.

2. Objective of Compliance Function

2.1 The purpose of the compliance function is to assist the Bank in managing its compliance risk which can be defined as *"the risk of legal or regulatory sanctions, material financial loss, or loss to reputation a Bank may suffer as a result of its failure to comply with laws, regulations, rules, related self-regulatory organization standards, and codes of conduct applicable to its Banking activities"*.

2.2 Compliance risk is sometimes also referred to as integrity risk, because the Bank's reputation is closely connected with its adherence to principles of integrity and fair dealing and embrace broader standards of integrity and ethical conduct.

3. Compliance Function and its relevance in the Bank

3.1 As the compliance area is critically important in identifying, evaluating and addressing legal and reputational risks, Bank-wide compliance program is being designed to look at across various business lines and activities as a whole and to consider how activities in one area of the Bank may affect the legal and reputational risks of other business lines and the entire enterprise. The compliance function shall be subject to internal audit.

3.2 The Basel Committee on Banking Supervision (BCBS) paper on Compliance Function in Banks defines Compliance Risk as *"the risk of legal or regulatory sanctions, material financial loss, or loss of reputation, a Bank may suffer as a result of its failure to comply with laws, regulations, rules, related self-regulatory organization standards, and codes of conduct applicable to its Banking"*

activities”.

3.3 The Board-approved compliance policy clearly spells out its compliance philosophy, expectations on compliance culture covering Tone from the Top, Accountability, Incentive Structure and Effective Communication & Challenges thereof, structure and role of the compliance function, role of CCO, processes for identifying, assessing, monitoring, managing and reporting on compliance risk throughout the Bank. This shall, inter-alia, adequately reflect the size, complexity and compliance risk profile of the Bank, expectations on ensuring compliance to all applicable statutory provisions, rules and regulations, various codes of conducts (including the voluntary ones) and the Bank’s own internal rules, policies and procedures, and creating a disincentive structure for compliance breaches. This Compliance Policy lays stress on building compliance culture across the Bank, vetting of the supervisory/regulatory reports to the RBI by the Chairperson of the ACB and the Part-time Chairman of the Bank. The Bank shall also develop and maintain a quality assurance and improvement program covering all aspects of the compliance function. The quality assurance and improvement program shall be subject to independent external review periodically (at least once in three years). The policy should be reviewed at least once a year.

3.4 The enterprise-wide compliance program will also help the management and the Board in assessing where the legal and reputational risks in the organization are concentrated, provide comparisons of the level and changing nature of risks and identify those control processes that most need enhancement. The compliance function thus aims at ensuring that controls and procedures capture the appropriate information to allow senior management and the board to better perform their risk management functions.

4 Duties and responsibilities of the compliance function

These shall include at least the following activities:

- (i) To apprise the Board and senior management on regulations, rules and standards and any further developments.
- (ii) To provide clarification on any compliance related issues.
- (iii) To conduct assessment of the compliance risk for all business lines (at least once a year) and to develop a risk-oriented activity plan for compliance assessment. The activity plan should be submitted to the ACB for approval and be made available to the internal audit
- (iv) To report promptly to the Board / ACB / MD & CEO about any major changes / observations relating to the compliance risk.
- (v) To periodically report on compliance failures/breaches to the Board/ACB and circulating to the concerned functional heads.
- (vi) To monitor and periodically test compliance by performing sufficient and representative compliance testing. The results of the compliance testing should be placed to Board/ACB/MD & CEO.
- (vii) To examine sustenance of compliance as an integral part of compliance testing and annual compliance assessment exercise.
- (viii) To ensure compliance of Supervisory observations made by RBI and/or any other directions in both letter and spirit in a time bound and sustainable manner

5 Compliance Philosophy

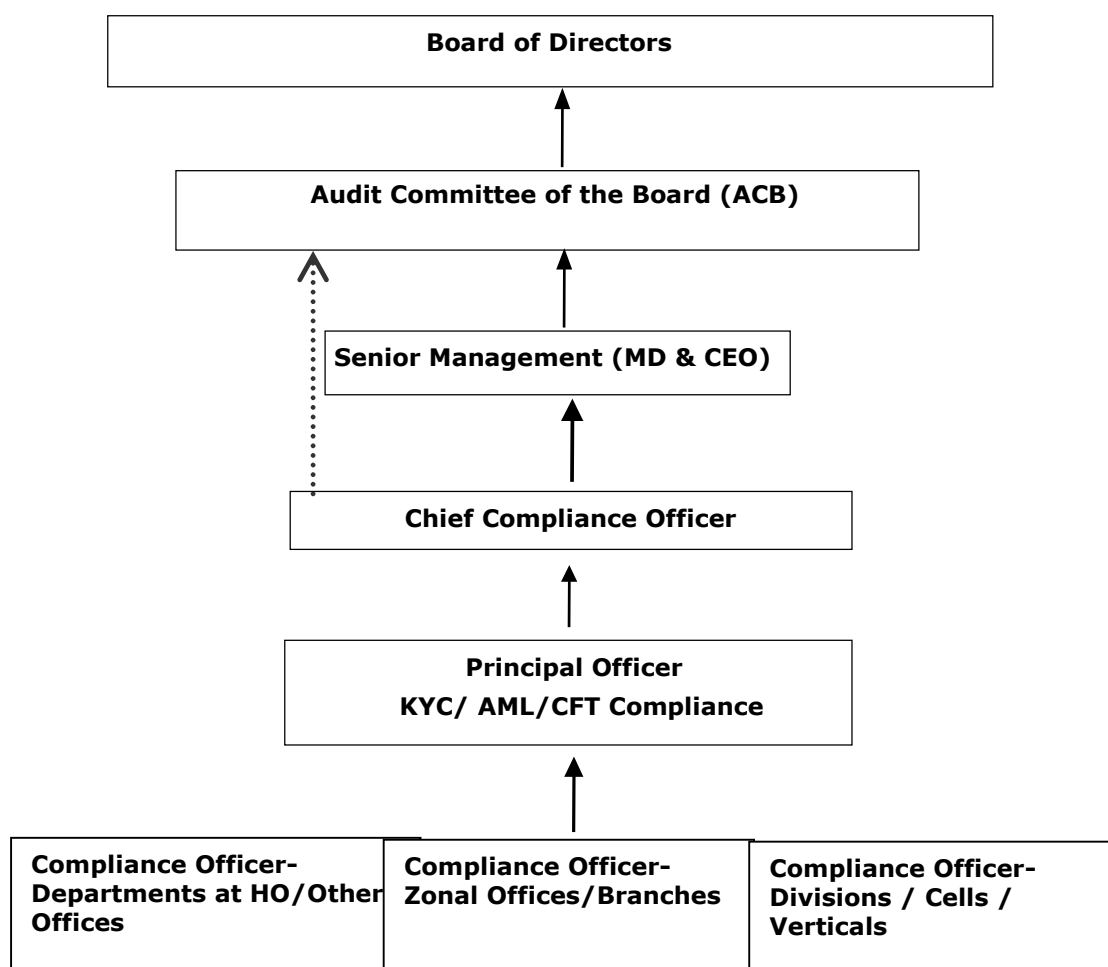
Compliance philosophy of the Bank includes the following:

- Obey laws, rules, regulations, various codes of conducts and adherence to fair practice codes

to keep the promises to shareholders, customers, employees, etc., as a representative of the company or a person in charge

- Take steps to ensure protection of confidential information concerning the Bank, customers or employees.
- Manage conflicts of interest
- Treat customers fairly, with the larger objective of delivering efficient customer service.

6. Organizational Structure



6.1 Board of Directors

In recognition of the various aspects of the Bank's compliance risk, the Board will approve and annually review this policy. It will ensure that an appropriate compliance policy is always in place to manage compliance risk and also oversee its implementation. Compliance failures, if deemed necessary, will be placed through the ACB and appropriate remedial measures will be taken. A detailed annual review will be placed to the Board through the ACB in the first quarter. It will also ensure that compliance issues are resolved effectively and expeditiously by senior management with the assistance of compliance staff. The Bank's Board of Directors shall be overall responsible for overseeing the effective management of the Bank's compliance function and compliance risk

Corporate culture emphasizes standards of honesty and integrity and the board of directors will lead by example. In order to ensure that the activities of the compliance function are subject to independent review, the compliance function and the audit function of the Bank will be kept separate.

6.2 Audit Committee of the Board (ACB)

The ACB is given the task of overseeing the implementation of the compliance policy and reviewing the compliance function on a quarterly basis. It will also review compliance failures if any and take appropriate remedial measures.

6.3 Senior Management (MD & CEO)

The Bank's Senior Management will be responsible for identifying and managing the compliance risk through all levels of the organization. The MD & CEO should ensure the presence of independent compliance function and adherence to the compliance policy of the Bank.

Whenever breaches are identified Senior Management will take appropriate remedial or disciplinary action. With the assistance of the Compliance Cell the Senior Management will

- At the close of each financial year, assess the main compliance risk issues facing the Bank and formulate plans to manage them.
- Report to the Board of Directors through ACB on the Bank's management of its compliance risk, in such a manner as to assist Board members to make an informed judgment on whether the Bank is managing its compliance risk effectively; and
- Report promptly to the Board through ACB any material compliance failure (e.g. failure that may attract a significant risk of legal or regulatory sanctions, material financial loss or loss to reputation).

6.4 Chief Compliance Officer

6.4.1 As part of robust compliance system, Bank is required, inter-alia, to have an effective compliance culture, independent corporate compliance function and a strong compliance risk management programme at Bank and group level. Such an independent compliance function is required to be headed by a designated Chief Compliance Officer (CCO) selected through a suitable process with an appropriate 'fit and proper' evaluation/selection criteria to manage compliance risk effectively. Fit & Proper criteria shall be examined and reported from the perspectives of competency, integrity and conflict of interest, among others.

6.4.2 The Chief Compliance Officer should be a senior executive of the Bank, preferably in the rank of a General Manager or an equivalent position (not below two levels from the CEO) and will be the Head of the Compliance Cell. He will be the nodal point of contact between the Bank and the regulator and will be a participant in the quarterly informal discussions held with RBI. He will assist the top management in effectively managing the compliance risks faced by the Bank. He will have the freedom to call for any report/data from any department or from any senior executive. He will have the overall responsibility for coordinating the identification and management of the Bank's compliance risk and supervising the activities of other compliance function staff. He will be a signatory to the 'Product Evaluation Committee' and the policy / procedure formulation for outsourcing contracts in the Bank. He/she will ensure that all new products are subjected to intensive monitoring for the first six months of introduction by the concerned departments and that the indicative parameters of compliance risk are adequately monitored. The CCO shall have direct reporting lines to the MD & CEO and/or Board/Board Committee (ACB) of the Bank. In case the CCO reports to the MD & CEO, the Audit Committee of the Board shall meet the CCO quarterly on one-to-one basis, without the presence of the senior management including MD & CEO.

The CCO shall not have any reporting relationship with the business verticals of the Bank and shall not be given any business targets. His functions and the performance appraisal will be subject to review by ACB/Board at least on yearly basis. The Chief Compliance Officer should have good understanding of industry and risk management, knowledge of regulations, legal framework and sensitivity to supervisors' expectations. The CCO shall not be member of any committee which brings his/her role in conflict with responsibility as member of the committee, including any committee dealing with purchases / sanctions. In case the CCO is member of a committee, he/she may have only advisory role.

6.4.3 Selection of the candidate for the post of the CCO should be done on the basis of a well-defined selection process and recommendations made by the senior executive level selection committee constituted by the Board for the purpose. The selection committee shall recommend the names of candidates suitable for the post of the CCO as per the rank in order of merit and Board shall take final decision in the appointment of CCO. Typical core elements of the mandate of CCO must include the design and maintenance of compliance framework, training on the regulatory and conduct risks, and effective communication of compliance expectations, etc. Chief Compliance Officer will be responsible for advising the Board and Senior Management on the Bank's compliance with applicable laws, rules and standards and keep them informed of developments in the area. He will also help educate staff about compliance issues, act as a contact point within the Bank for compliance queries from employees, and provide guidance to staff on the appropriate implementation of applicable laws, rules and standards in the form of policies and procedures and other documents such as compliance manuals, internal codes of conduct and practice guidelines. Co-ordination with departments for ensuring compliance of all regulatory & statutory requirements. The Chief Compliance Officer shall have the ability to independently exercise judgment. He/she should have the freedom and sufficient authority to interact with regulators/supervisors directly and ensure compliance.

6.4.4 There shall not be any 'dual hatting' i.e. the CCO shall not be given any responsibility which brings elements of conflict of interest, especially the role relating to business. Roles which do not attract direct conflict of interest like anti-money laundering officer, etc. can be performed by the CCO in those Banks where principle of proportionality in terms of Bank's size, complexity, risk management strategy and structures justify that.

6.4.5 The Chief Compliance officer by the virtue of the post would be member of all important committees which would meet at frequent intervals. In case such meetings are not held, Chief Compliance Officer may interact with Law Department, Risk Department, Accounts Department, Premises and Development Department, Inspection Department & Credit Monitoring Department to take stock of latest developments in Business Verticals.

6.4.6 The Chief Compliance Officer will be appointed for a minimum fixed tenure of not less than three years with the age limit of not more than 55 years. Relaxations provided by RBI subsequently through FAQ may be acted upon and confirm that the CCO appointed has adequate experience in the compliance and control functions prior to the age of 55. The Chief Compliance officer may be transferred / removed before completion of the tenure only in exceptional circumstances with the explicit prior approval of the Board after following a well-defined and transparent internal administrative procedure; in which his negligence in discharging compliance function or his serious acts of omission or commission in financial or administrative matters is established, recorded in a transparent manner. A prior intimation to the Department of Supervision, Reserve Bank of India, Central Office, Mumbai, shall be provided before appointment, premature transfer/removal of the CCO. Such information should be supported by a detailed profile of the candidate along with the fit and proper certification by the MD & CEO of the Bank, confirming that the person meets the above supervisory requirements, and detailed rationale for changes, if any. The Chief Compliance Officer should have an overall experience of at least 15 years in the Banking or financial services, out of which minimum 5 years shall be in the Audit / Finance / Compliance / Legal / Risk Management functions. Relaxations provided by RBI subsequently through FAQ may be acted upon and confirm that if a regional/zonal/business head had the requisite responsibility/ experience on the control functions of the business lines for 5 years or more, she/he is eligible for the post of CCO under this condition. No vigilance case or adverse observation from RBI, shall be pending against the candidate identified for appointment as the CCO. RBI has permitted the Bank to follow the indicated processes for selection of CCO within a period of nine months from the

date of latest RBI Circular, 11th September 2020 and are free to reappoint the current incumbent as the CCO, if she/ he meets the requirements.

6.4.7 The Reserve Bank of India will also similarly be kept informed of the name, address and contact number of the Chief Compliance Officer as also any change thereof, as and when it takes place.

6.5 Compliance Cell

The Compliance Cell will consist of Chief Compliance Officer, Principal Officer- KYC/AML/CFT Compliance, who will be a Scale V Officer and other compliance officers of the Cell.

Principal Officer- KYC/AML/CFT Compliance coordinates the compliance functions related to identifying, analyzing and reporting compliance risk. For matters related to compliance function, the Principal Officer -KYC/AML/CFT Compliance will report to the Chief Compliance Officer.

6.6 Compliance Officers at HO Departments/ Zonal Offices /Verticals/Cells/Branches

To assist the Compliance Cell in the matter of managing compliance risk & collecting data/reports from various Departments / Zonal Office / Divisions / Cells. Each of these Offices of the Bank will have a Compliance Officer.

Compliance Department shall ensure that system of designating of compliance officers in each Department/Zonal office/Verticals and branches are put in place. These compliance officers shall have distinct compliance functions to be undertaken by them.

6.6.1 The main requirements & responsibilities of the officers nominated at the Department/Zonal Office/Verticals and Branches as Compliance Officers will be the following:-

- To be guided by the Compliance Policy of the Bank.
- To oversee all Compliance Functions & report compliance failures if any, related to their respective Department /Zone.
- To assist the Compliance & PMLA Cell, HO in the matter of collecting data/reports from various divisions / branches under their respective Department/Zone.
- The Compliance Officer will also be responsible for the accurate and timely submission of the compliance position of their department/zone.
- To ensure submission of returns related to their departments/zones/branches to the regulators within the required time frame.
- Focus on Compliance Functions of the Department on Regulatory Compliance, Statutory Compliance, Compliance with Fair Practice Codes and other Codes prescribed / suggested by Self-Regulatory Organizations, Government Policies, Bank's Internal Policies and Prevention of Money Laundering and Funding of Illegal Activities etc. which are applicable.
- Closely watch all new products / processes for the first six months of introduction to ensure that the indicative parameters of compliance risk are adequately monitored & in case of any variance, he/she shall report the same to PEC/Chief Compliance Officer with the proposed steps taken for mitigation.
- To ensure that appropriate remedial action is taken, if any breaches/ incidence of non-compliance is noticed/ identified to avoid recurrence.
- To immediately report to the Chief Compliance Officer on exception basis of any non-compliance/advisory/stricture passed and penalty imposed by any regulatory/ statutory bodies on any breaches of compliance.

6.6.2 As compliance function is closely related to operational risk, officers already designated as Operational Risk Managers in various departments, will function as compliance officers. In all Zonal / Other offices where there are no Operational Risk Managers, an officer each will be designated as Compliance Officer. The concerned departments would hold the prime responsibility for their respective areas, while the compliance function will need to ensure overall oversight.

Compliance Officers who are located in these offices will report to the Compliance Cell regarding matters of Compliance. These units will operate closely with the Chief Compliance Officer. There will be utmost co-ordination among the Compliance Officers of various departments and other offices to enable the Chief Compliance Officer to perform the assigned responsibilities effectively. Compliance Nodal Officers will also be designated at each branch of the Bank to oversee observance of compliance functions. The CCO and compliance function shall have the authority to communicate with any staff member and have access to all records or files that are necessary to enable him/her to carry out entrusted responsibilities in respect of compliance issues.

6.6.3 The post of Compliance Officer at these offices/branches will be filled immediately in case of any vacancy due to transfer/resignation/retirement and the same will be informed to the Compliance Cell, Head Office

7. Creating a Culture of Compliance

Strong compliance culture is a pre-requisite for an effective compliance function. It is very important for the Bank to demonstrate a good Compliance Culture to maintain the reputation and win the trust of customers, investors and regulators. Such culture is essential element in the safe and sound functioning of the Bank and if not followed effectively may adversely affect the Bank's risk profile. Bank will ensure to be in compliance with core elements like following the laws, rules, regulations, and various codes of conducts and also to be in adherence with fair practice codes, managing conflict of interest and treating customers fairly to assist build a true Compliance Culture.

The Bank shall promote awareness of compliance obligations and ethical values to maintain an appropriate compliance culture throughout its businesses. Compliance shall not be seen as an activity of the Compliance Department alone but as a culture that shall pervade across the Bank. It is however, reiterated that compliance is a shared responsibility of the business units and the compliance function. Therefore, adherence to applicable statutory provisions and regulations needs to be the responsibility of each staff member of the Bank and it is the work of the compliance function to ensure the same. As a part of the Compliance framework of the Bank, it is envisaged to embed compliance in every department of the Bank in an effective way as a part of the corporate culture that emphasizes standards of honesty and integrity. The organization shall hold itself to high standards when carrying on business and, at all times, strive to observe the spirit as well as the letter of the law. The performance of an officer shall be linked with Key Performance Indicator (KPI) in line with compliance functions and necessary weightage shall be given to record of compliance during performance appraisal of the staff at various levels. In the score card of each vertical, compliance function will be allotted marks and the same would be aligned with RAR score of the Bank.

7.1 Tone from the Top:

The Board's oversight over compliance function should not be limited to framing policies, and its periodic review. A Bank's compliance policy will not be effective unless the Board of Directors promote values of honesty and integrity throughout the organisation. The Board should also formulate and maintain a quality assurance and improvement programme that covers all aspects of the compliance function. The quality of supervisory / regulatory compliance reports to RBI should be vetted by the top

executives, non-executive Chairman / Chairman and ACB of the Bank, as the case may be.

7.2 Accountability:

The Bank's senior management is responsible for effective adherence to the compliance policy of the Bank by the management and staff; and for ensuring that compliance risk is minimised. Culture of owning the responsibility individually and collectively by board; clear demarcation of accountability of senior management, functional head and operational head; role of business unit as first line of defence and role of internal audit as third level of defence in facilitating robust compliance culture are all important.

7.3 Incentive Structure :

An adequate incentive structure should be in-built in the Bank's decision making systems and processes to achieve the desired compliance culture.

7.4 Disincentive Structure:

An appropriate disincentive structure should be implemented in the Bank's decision making systems for minimising the compliance breaches.

7.5 Effective Communication:

Clarity and transparency should be promoted by making a distinction between general standards for all staff members and rules that only apply to specific groups of staff. An effective compliance culture requires continuous communication of expectations on risk and compliance and practices across the Bank; compliance awareness channels for existing and new Board members, senior management and employees; process for containing conduct risk and whistle-blower mechanism.

8. Functional Requirements of Compliance Cell

8.1 The Bank's compliance function shall be independent of all other functions. The staff in the Compliance Cell at the Head Office, as also Compliance Officers at Departments and controlling offices, will primarily focus on compliance functions. The compliance staff may be assigned some other duties without giving room for conflict of interest. Under no circumstances, the compliance staff will be assigned audit/inspection duty as it gives rise to serious conflict of interest. The Bank shall also develop and maintain a quality assurance and improvement program covering all aspects of the compliance function. The quality assurance and improvement program shall be subject to independent external review periodically (at least once in three years).

8.2 Apart from the basic qualifications, the Compliance staff will preferably have a fair knowledge of law, accountancy and information technology and also adequate practical experience in various business lines and audit/inspection functions to enable them to carry out their duties effectively. In order to keep the compliance staff up-to-date with developments in the areas of Banking laws, rules and standards, regular and systematic education and training will be given to them. They will be adequately trained in new products and services introduced in the Banking industry as well as in the areas of corporate governance, risk management, supervisory practices etc.

8.3 Compliance Officers will have access to all information they require and have the right to conduct investigation and report the findings to the Chief Compliance Officer.

The Compliance Cell will be adequately staffed so as to ensure that the department discharges its functions without any resource constraint.

9. Functions and responsibilities of Compliance Cell

The Compliance Cell will

- Act as the focal point for receipt and dissemination of all regulatory and internal guidelines/instructions. The Cell will be a part of the Circular Scanning Committee which vets all circulars/memos issued by the Bank. It will ensure that appropriate instructions get promptly issued within the organization and are actually received at each office and the instructions are implemented. It will also monitor compliance with the regulatory guidelines/instructions.
- Play the central role in the area of identifying the level of compliance risk in each business line, products and processes and issue instructions to operational functionaries. Ensure identification of the level of compliance risk in the products and processes of the various business lines based on inputs received through the Risk Control Self-Assessment (RCSA). On introduction of new products and processes the compliance risk is assessed and noted under the respective business line. Risk Management Department at Head Office shall continue to play the central role in the area of identifying the level of compliance risk in each business line, products and processes. After analyzing the risk, all new products & processes shall be approved wherein, compliance risk besides other risk shall be analyzed and appropriate risk mitigating checks and balances if required shall be put in place before launching a product/process. The chief compliance officer to ensure that the concerned department monitors the prescribed procedure for initial six months & in case any deviation is found the same should be informed to Compliance Department along with steps proposed.
- Advise and assist the senior management on compliance laws, rules and standards. It will provide guidance to staff on the appropriate implementation of compliance laws, rules and standards through policies and procedures and other documents such as compliance manuals, internal codes of conduct and practice guidelines. Provide continuous and mandatory training to all staff of the Bank on compliance aspects and the need to comply with the instructions meticulously along with the disciplinary measures through staff accountability framework / policies for non-compliance, will be imparted so as to promote a compliance culture in the Bank.
- To devise a time bound strategy that will ensure RBI's AFI, RAR/ RMP points are complied within the prescribed periods. To identify compliance failures in the Bank using the internal audit and concurrent audit as a feedback mechanism. Synopsis of all audit reports will be marked to Chief Compliance Officer and similarly all reviews by Compliance Cell will be marked to Inspection Department. It will go through the synopsis of all audit/inspection reports and rectification reports regularly to enable it to identify compliance failures in the Bank. Copy of the compliance to RBI Annual Financial Inspection will be endorsed by the various departments to the Chief Compliance Officer for information.
- At frequent intervals, interact with Legal Department, Accounts Department (for matters relating to SLR, CRR, Taxation, Disclosures etc.), PMLA (with regard to compliance of KYC, AML norms), Insurance (IRDAI regulations etc.), Integrated Treasury/Retail Forex/CTPC (with regard to FIMMDA, FEDAI, RBI regulations) and Audit/Inspection Department of the Bank to take stock of the latest developments. Comply with specified guidelines enlisted in the templates introduced under RBS framework that are oriented towards compliance assessment which will be updated on an annual basis so as to put in an exhaustive compliance framework encompassing all guidelines emanating from RBI. Based on the RBI instruction, to have a co-ordination with Compliance, Risk & Audit, a committee in the name of Structured Compliance Risk & Audit Review Meeting (SCRARM) is organized and meet on a monthly basis to discuss compliance related issues . The minutes and action points of the meeting are to be placed to

ACB on a monthly basis.

- Attend to the compliance of directions from other regulators i.e IRDAI, SEBI etc. (eg; when acting as a corporate agent for distribution of other companies' insurance products it may receive direction from IRDAI, which will be a part of the compliance function).
- Bring to the notice of RBI any discomfort conveyed to the Bank on any issue by other regulators.
- Monitor/ensure timely submission of regulatory returns by the controlling offices through appropriate mechanism like maintenance of manual calendar and centralized generation of regulatory reports.
- Monitor and test compliance by performing sufficient and representative compliance testing and report the results to the senior management. Compliance Risk testing of branches is being conducted based on the analysis of compliance risk as reflected in the Risk Based Internal Audit (RBIA) report of each branch conducted during the quarter.
- Compliance department shall finalize ways to measure compliance risk by using specific indicators such as compliance testing results conducted by it, observations by RBI in Risk Assessment Report (RAR), delay in submission of regulatory returns to RBI if any. Compliance Department shall ensure that "Instances of Compliance Failures based on compliance testing results" are communicated to the concerned departments.
- Conduct compliance reviews/investigations, whenever required. The authority to use external experts for the purpose of investigation if required, is left to the discretion of the Chief Compliance Officer.
- Place before the Board and circulate to all the functional heads an Annual Report on compliance failures/breaches. Although normal reporting line of Compliance Cell will be to senior management, the Cell will also have the right of direct access to the Board of Directors or to ACB, bypassing normal reporting lines. The reports submitted to the Senior Management, Audit Committee of the Board and Board of Directors is detailed in Annexure-I
- Disclose in annual report of the Bank non-compliance of any regulatory guidelines and administrative actions taken against the Bank along with corrective steps taken to avoid recurrence of the lapses.

10. Principles of Compliance

In addition to the above, following shall, in general, be equally important for effective management of Compliance and Compliance Functions. The Compliance Functionary/ies shall:

- Be looked at as a friend, philosopher and guide by the business units. There shall be close co-ordination between Compliance and Business Operations functions. The interaction may be formalized by making the Chief Compliance Officer a member of the various strategic and important committees in the Bank.
- Have right to access to information necessary to carry out their responsibility and for pointing out / looking into possible breaches of compliance policy.
- Be free to report on any irregularities without fear of disfavor from management or other staff members to the Board of Directors / Audit Committee of the Board or a committee of the Board, appointed for the purpose.

11. The Review & Reporting Mechanism

- The responsibility of the compliance function shall be carried out in a planned way. Generally, Compliance Department shall review, revise and modify the compliance function annually with prior approval of the Board. However, the departments shall immediately report introduction/withdrawal of compliance functions in their Department to Compliance Department on an ongoing basis. Depending upon the gravity of non-compliances, Compliance Department shall take decision whether to immediately include newly introduced product/process in the list of compliance functions of the Bank or not.
- Compliance officers shall report monthly status of compliance under their jurisdiction on the compliance functions to their next higher authority/appointing authority in line with the organizational structure/communication flow as already detailed in point 4. Compliance Department shall in turn place the quarterly consolidated status note before the ACB.
- An Annual Report on compliance failures/breaches based on adverse findings, reported by various departments shall be compiled along with remedial measures to be taken and placed before the Board/ACB/Board Committee and thereafter shall be circulated to all the Compliance Officers/Functional Heads.
- Non-compliance with any Regulatory Guidelines and Administrative Actions initiated against the Bank and or corrective steps taken to avoid recurrence of the lapses should be disclosed in the annual report of the Bank.

12. Monitoring & Testing Mechanism

- Periodical reports/ confirmations submitted by Zonal Compliance Officers and Departmental/Vertical Compliance Officers shall be subject to testing by the Compliance Department.
- Results of Compliance Testing conducted by the Compliance Department shall serve as a feedback mechanism for the department to review the control mechanisms and take remedial measures to avoid recurrence of such failures/ breaches.
- Bank has been placed under Risk Based Supervision (RBS). Under Tranche-III of RBS framework, RBI has introduced templates of RBI guidelines for the assessment of compliance. RBI revises these templates on annual basis. Compliance department shall put in a Compliance Testing framework to help identify potential breaches/ failures and take remedial measures by respective Departments/Verticals.
- Compliance Testing shall be conducted at HO/ZO/Office/Branch level with the help of data extracted from the CBS system. Compliance Testing results shall be communicated to the concerned departments for initiating necessary steps to fill the control gaps and avoid breaches/failures in future. Consolidated results of compliance testing shall be placed before Board/ACB on annual basis.
- Compliance Risk Assessment in all business lines shall be conducted on a yearly basis and the result of the testing to be placed to the Audit Committee of the Board.
- Compliance Status of all new products / processes for the first six months of introduction shall be analyzed to ensure that the indicative parameters of compliance risk are adequately monitored & in case of any variance, the same should be report to PEC /Chief Compliance Officer with the proposed steps taken for mitigation.

- Compliance department will consider ways to measure compliance risk (e.g. by using performance indicators) and use such measures to enhance compliance risk assessment. The process is described under Annexure-II where the methodology in selection of samples and quantity required for compliance testing under the Tranche-III is detailed.

13. The Compliance Programme

13.1 The responsibilities of the compliance function i.e. reporting/review and compliance assessment will be carried out under a compliance programme as mentioned in Annexure-I & II. The compliance programme will be risk-based and subject to oversight by the Chief Compliance Officer to ensure appropriate coverage across businesses and co-ordination among risk management functions. More emphasis for compliance risk will be given in the risk assessment methodology of the Internal Inspection of the branches and audit programme will cover the adequacy and effectiveness of the Bank's compliance function including testing of controls commensurate with the perceived level of risk. The activities of compliance function will also be subject to annual review by the Internal Audit conducted by the Bank and under RBS.

13.2 In future, the Bank may choose to carry on business in various jurisdictions for a variety of legitimate reasons. In such cases, it should be ensured that applicable laws and regulations in all such jurisdictions and that the organization and structure of the compliance function and its responsibilities are consistent with local legal and regulatory requirements. It will also be ensured that compliance responsibilities specific to each jurisdiction are carried out by individuals with the appropriate local knowledge and expertise, with oversight from the Chief Compliance Officer in cooperation with the Bank's other risk management functions.

The code of conduct for employees envisages working towards earning the trust of the society by dealing with customers in a fair manner and conducting business operations consistent with rules and regulations. Instances of major compliance failures on the part of employees will be reported by the Compliance Cell to the Staff Department for taking appropriate action.

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Annexure-I

1. Reports from Departments/Zonal Offices/ Cells/ Branches to the Compliance Cell

Sl. No	Name of Report / Certificate	Department/ Zonal Offices	Periodicity*
1	Compliance of KYC / AML regulations.	PMLA Cell	Monthly
2	Compliance of maintenance of CRR, SLR and other regulatory requirements of RBI. Compliance of Tax Laws (Income Tax and Service Tax).	Accounts	Monthly
3	Compliance to BCSBI/Ombudsman Scheme/Internal policies & guidelines.	Branch Service	Monthly
4	Compliance of SEBI / FIMMDA /CCIL/ NDS/PDO guidelines Compliance of regulations of RBI, FEMA, FEDAI, Government and BR Act.	Integrated Treasury/ Forex CPC	Monthly
5	Compliance of Tax Laws (TDS).	Centralized TDS	Monthly
6	Compliance of norms relating to Banking Regulations Act and Companies Act with regard to conduct of meetings, dissemination of information / instructions, maintenance of records, corporate governance etc.	Board & Shares	Monthly
7	Compliance of Dissemination of and its amendments to information regarding various laws branches/offices and observance of regulatory norms in giving legal opinion / clearance.	Law	Monthly
8	Compliance of dissemination of information regarding various laws like IT ACT, Cyber Laws, etc. and its amendments to branches/offices and observance of regulatory norms related to technological issues.	IT,ISMD & RTGS	Monthly
9	Compliance of all statutory provisions regulatory guidelines issued by the RBI, IRDAI, MTSS.	Insurance & TPP	Monthly
10	Compliance of regulatory norms related to Non-Banking Assets and Premises.	Development	Monthly
11	Compliance of all statutory provisions, regulatory guidelines, including Banks internal policies. Report of returns/statements due for submission to RBI/Government (State/Central) and any other regulatory authorities. Report of assessment of compliance risk identified.	All other Departments & Zonal Offices	Monthly

12	Report of compliance failures, if any.	All other Departments & Zonal Offices	Monthly
13	Compliance Calendar	All other Departments	Quarterly
14	Tranche 1 (Penalty, restrictions, warning letters etc.,)	All other Departments & Zonal Offices	Quarterly
15	Compliance related to regulatory guidelines/ circulars through CERMO/ TASC software	All other Departments & Branches	Monthly/ quarterly/ fortnightly/half yearly/ yearly

* Reports/Certificates should reach the Compliance Cell within 10 days from the close of the period.

2. Reports from Compliance Cell to MD & CEO

Based on the reports/certificates received from various heads of Departments/Cells/Offices Compliance Cell will identify compliance failures and major failures if any will be reported to MD & CEO.

Name of Report	Contents@	Periodicity**
Monthly Compliance Report to MD & CEO	i) Compliance to statutory provisions, regulatory guidelines, Banks internal policies, systems and procedures. ii) Compliance failures, if any, during the month and steps taken to avoid recurrence of the failures. iii) Consequential losses and regulatory action. iv) Compliance Risk identified, if any.	Monthly

** Will be submitted within 20 days from the close of the month.

@ Report should include details of compliance failures reported by various Departments and Zonal Offices

3. Reports from Compliance Cell to ACB

Within 30 days from the close of every quarter (June, September, December) a brief report on the compliance position will be placed before the ACB. This report will show a consolidated position of all major items appearing in the monthly reports submitted to MD & CEO.

Name of Report	Contents	Periodicity \$
Quarterly Compliance Report to ACB	i) Compliance failures, if any, during the quarter and Steps taken to avoid recurrence of the failures. ii) Consequential losses and regulatory action. iii) Compliance Risk identified, if any.	(June, September, and December)

\$ As there is a yearly return in the month of March from the Compliance Cell to the Board through ACB, the Cell need not submit a separate quarterly return for the quarter ending March.

4. Reports from Compliance Cell to Board

Within 30 days from the close of every quarter (June, September, December) a brief report on the compliance position will be placed before the Board.

Name of Report	Contents	Periodicity
Quarterly Compliance Calendar to Board	Reporting of all the returns to be submitted by various departments to the respective authorities on a periodical basis	(June, September, December & March)

5. Reports from Compliance Cell to Board through ACB

Name of the Report	Contents	Periodicity
Annual Compliance Report to Board	i) Compliance failures, if any, during the preceding year and consequential losses and regulatory actions as also steps taken to avoid recurrence of the same.	^ Yearly (As on 31st March every year.)
	ii) Compliance with fair practices codes and adherence to standards set by self-regulatory bodies and accounting standards.	
	iii) System of internal control to minimize compliance risk.	
	iv) Compliance Risk identified, if any.	
	v) Penalties imposed and Penal action taken against the Bank under various Laws & Statutes.	
	vi) List of all major regulatory guidelines issued during the preceding year and steps taken by the Bank to ensure compliance.	
	vii) Independence of compliance function.	
	viii) Progress in rectification of significant deficiencies pointed out in the internal audit, statutory audit and RBI inspection reports and position of implementation of recommendations made therein.	
	ix) Strategy for the next year including restructuring of Compliance Cell, if necessary, posting/transfer/training of staff .	
Annual Compliance Risk Assessment Report to Board	Compliance Risk Assessment for all business lines	Yearly

Compliance Risk Assessment Policy	Framework and methodology to assess the compliance risk concerning applicable law, rules, guidelines, and standards of all regulators.	Yearly
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[^] Will be submitted within 40 days from close of the year

Annexure-II

1. Compliance Risk Assessment & Testing under Tranche- III

The Compliance Department plays a key role in assessing compliance risk and ensuring compliance to regulatory guidelines under Tranche III. The department audits the compliance to the policies and processes of RBI directives/guidelines in place at the Bank on basis of the report of compliance to points under Tranche III related to all departments.

Compliance to points under Tranche III is forwarded from RBS Department to the Inspection Department after the same is collected from the respective departments for audit assessment. The audit assessment report is forwarded to the Compliance Cell for testing and assessment of compliance to the points under Tranche III. The Compliance Department scrutinizes each point submitted by the respective audit inspector who has inspected the department under Tranche III and tests the compliance level through a random selection where ten percent of the samples provided by the Inspection Department in their audit assessment of the Tranche III is taken into consideration. The results of such compliance assessment is reported to RBS department for onward reporting to RBI.

Annexure III

Compliance Risk Assessment Model and Compliance Risk Score

Compliance Risk Assessment as per the model approved by RMC is carried out every year and is placed to the Senior Management. Compliance risk is assessed based on the following board parameters and the compliance risk score is arrived at.

Sl. No	Compliance Risk Type
1	Reporting/escalation framework
2	Perception & relationship with regulators
3	Adequacy of compliance resources
4	Compliance environment
5	Compliance oversight by board and senior management
6	Supervisory and staff commitment to compliance
7	Adequacy of compliance policies & procedures
8	Compliance risk assessment
9	Adequacy of compliance revision process
10	Reporting of compliance data
11	Frequency of compliance program review
12	Compliance governance framework
